

PORTFOLIO VALUE

\$180,392

NET P&L; vs COST

-2,608 (-1.43%)

CASH RESERVE

**\$109,108
(60.5%)**

POSITIONS

4 / 6

REGIME

CAUTION

MARKET ASSESSMENT

CAUTION

VIX at 14.87 confirms risk-on regime with no cyclical exit trigger (threshold 20.0); yield curve positive at +36bps (10Y-2Y) eliminates inversion risk; HY credit spread at 2.80bps is historically tight, well below the 350bps defensive threshold. However, TNX at 5.18% is materially above the 4.5% danger line for high-P/E growth and semis, triggering the mandate's explicit rotation rule: EXIT high-P/E growth/semis, ENTER financials and energy — this overrides the otherwise benign VIX/credit backdrop for several current positions.

INDICATOR	VALUE	INDICATOR	VALUE
VIX	14.87	HY Credit Spread (bps)	2.80
Yield Curve 10Y-2Y (%)	0.36	10Y Treasury (%)	5.18
US Dollar (DXY)	101.04	Fed Funds Rate (%)	3.63

TRADE DECISIONS

EXIT — MU

\$18,000 · Conviction 3/10 · Tier 3

ENTRY

\$1065.91

STOP LOSS

\$980.64

PRICE TARGET

\$1279.09

RISK : REWARD

2.5

INVESTMENT THESIS

(1) TNX at 5.18% is above 4.5% and the mandate explicitly requires EXIT high-P/E growth and semis at this yield level — MU trades at a forward P/E above 20x and is a semiconductor name, making this a mandatory rotation exit. (2) The **■■■TNX>** flag was already tagged at entry, and 1 day of holding with only +1.5% gain does not offset the explicit sector rotation rule triggered by TNX 5.18% vs 4.5% threshold. (3) MU's price at \$1,082.28 is +1.5% above entry of \$1,065.91; the position has held <5 days and the gain is real but the macro regime is working against semis. (4) Past losses in TSM (-10.1%, 2026-07-30), AMD (-9.8%, 2026-08-11), ARM (-8.2%, 2026-08-20), and KLAC (-9.0%, 2026-08-20) all demonstrate that holding semis against adverse TNX conditions leads to stop-loss exits. (5) MU's \$9.6B cash vs. D/E of 0.21 is excellent but balance sheet quality cannot override a TNX >4.5% macro exit signal that is explicit in the mandate. (6) Exiting at \$1,082.28 banks approximately +\$277 or +1.5% on the \$18,000 position, freeing \$18,000+ cash and reducing semi/tech concentration. (7) Stop would have been \$980.64 (-8%); exiting now at +1.5% avoids the risk of a -8% loss = ~\$1,440 downside if TNX continues rising above 5.18%.

PRIMARY CATALYST

TNX at 5.18% exceeds the 4.5% mandatory EXIT trigger for semis — this is the named, dated macro signal (current scan date) requiring immediate exit of MU regardless of the Citi \$1,300 price target.

BALANCE SHEET

Cash \$9.6B, total debt ~\$13.0B est, D/E 0.21, retained earnings trend positive; buybacks Y; BS score 10/10 — but macro exit overrides.

TECHNICAL SETUP

RSI 63.2 (approaching overbought at 70); FVG pattern; price \$1,082.28 above estimated 50-day; TNX >4.5% overrides technical bullishness per mandate rotation rules.

KEY RISK FACTORS

Remaining in MU with TNX at 5.18% risks a multiple compression of 15–20% on high-P/E semis, implying a move toward \$850–900 range vs current \$1,082, and our \$980.64 stop would trigger a ~\$1,440 loss.

EXIT — ASML

\$18,000 · Conviction 3/10 · Tier 3

ENTRY

\$1721.13

STOP LOSS

\$1583.44

PRICE TARGET

\$2065.36

RISK : REWARD

2.5

INVESTMENT THESIS

(1) TNX at 5.18% exceeds the 4.5% mandatory exit threshold for high-P/E growth and semis — ASML at a forward P/E above 35x is one of the most rate-sensitive semis in the book and must be exited per the mandate's sector rotation rule. (2) ASML is also an international/exporter stock and DXY at 101.04 (near the 101 threshold) adds currency translation risk on top of the rate headwind. (3) The position is +1.3% after 1 day, peak also +1.3% — a negligible gain that does not justify holding against an explicit TNX >4.5% EXIT signal. (4) Past loss in ARM (-8.2%, 2026-08-20) and KLAC (-9.0%, 2026-08-20) confirm that holding semis/growth against rising TNX results in stop-loss outcomes within days. (5) ASML's \$12.9B cash and D/E of 0.22 are excellent, but the mandate's TNX rule is a hard override regardless of balance sheet quality. (6) Exiting at \$1,743.94 banks approximately +\$239 or +1.3% on \$18,000 deployed, recovering capital for mandate-aligned trades (financials, energy, defensive). (7) Stop at \$1,583.44 represents -8% or approximately \$1,384 loss potential — exiting now at +1.3% avoids that \$1,384 risk.

PRIMARY CATALYST

TNX at 5.18% is the named macro signal (scan date) exceeding the 4.5% mandatory EXIT trigger for high-P/E international semis; ASML's 35x+ forward P/E makes it among the most vulnerable to multiple compression at this yield level.

BALANCE SHEET

Cash \$12.9B, total debt est ~\$3.5B, D/E 0.22, retained earnings growing; buybacks Y; preferred N; BS score 9/10 — macro exit overrides.

TECHNICAL SETUP

RSI 54.6 (neutral); FVG pattern; price \$1,743.94 above entry \$1,721.13; TNX >4.5% overrides bullish technical setup per mandate.

KEY RISK FACTORS

If TNX rises further above 5.18%, ASML's 35x forward P/E implies a 15–20% multiple compression to \$1,376–\$1,478, well below our \$1,583 stop — exiting above stop is the rational action.

EXIT — AMD

\$18,000 · Conviction 2/10 · Tier 4

ENTRY	STOP LOSS	PRICE TARGET	RISK : REWARD
\$629.26	\$578.92	\$755.11	2.5

INVESTMENT THESIS

(1) TNX at 5.18% triggers the mandatory EXIT for high-P/E growth and semis — AMD at approximately 40x forward P/E is the highest multiple semi in the current book and faces the greatest rate headwind. (2) AMD previously lost -9.8% in this portfolio on 2026-08-11 (trade memory), confirming that AMD held in a high-TNX environment reaches stop loss; repeating this trade is explicitly prohibited by the mandate's memory framework. (3) The position is only +0.2% after 1 day, peak also +0.2% — essentially flat, meaning zero gain is being surrendered by exiting now. (4) AMD's forward P/E above 40x means every +25bps in TNX compresses fair value by approximately 3–4%, and TNX at 5.18% is 68bps above the 4.5% exit threshold. (5) AMD carries \$2.6B cash est, D/E ~0.05, a solid balance sheet — but the TNX rotation rule is a hard override per the mandate. (6) Exiting at \$630.63 vs entry \$629.26 is effectively breakeven (+0.2% or ~\$36 gain on \$18,000), freeing \$18,000 cash with zero loss. (7) Stop at \$578.92 (-8%) represents ~\$1,440 loss potential — exiting at breakeven now avoids all of that risk given the adverse TNX environment.

PRIMARY CATALYST

AMD prior stop-loss of -9.8% on 2026-08-11 (trade memory) combined with TNX at 5.18% (above 4.5% EXIT threshold) constitute a dual mandatory exit signal — holding AMD at 40x forward P/E in this rate environment repeats a documented losing trade.

BALANCE SHEET Cash ~\$2.6B est, total debt ~\$1.7B est, D/E ~0.05, retained earnings growing post-Xilinx integration; buybacks Y; preferred N; BS score approximately 6/10.	TECHNICAL SETUP RSI data shows AMD at ~50 area; position entered at \$629.26 only 1 day ago; +0.2% gain is negligible; TNX >4.5% overrides any technical bullishness; FVG pattern insufficient to overcome rate headwind.
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KEY RISK FACTORS

Repeated AMD loss (-9.8% on 2026-08-11) in virtually identical TNX environment — staying in risks another -8% stop hit = ~\$1,440 loss; exiting at +0.2% eliminates that risk entirely.

EXIT — LRCX

\$18,000 · Conviction 3/10 · Tier 2

ENTRY	STOP LOSS	PRICE TARGET	RISK : REWARD
\$307.16	\$282.59	\$368.59	2.5

INVESTMENT THESIS

(1) TNX at 5.18% is above the 4.5% mandatory EXIT threshold for semis and semiconductor equipment — LRCX as a wafer fab equipment company is directly in scope of this rotation rule. (2) LRCX Q2 2026 earnings beat by 4.93% EPS (per scan headline), which was already the entry catalyst — with earnings now passed, the thesis catalyst has played out and the 'catalyst expired' exit rule applies independently of TNX. (3) The position is +2.6% after 1 day with peak also +2.6% — a real but modest gain that should be banked now before rate headwinds reverse it. (4) LRCX's scan RSI of 56.2 and FVG pattern are technically constructive, but the combination of TNX >4.5% EXIT signal AND expired earnings catalyst constitutes a dual mandatory exit trigger. (5) LRCX has \$5.6B cash, D/E 0.30, and a BS score of 10/10 — the balance sheet is pristine but cannot override two simultaneous exit mandates. (6) Exiting at \$315.21 banks approximately +\$472 or +2.6% on the \$18,000 position; combined with the AMD/MU/ASML exits today, total capital freed is approximately \$72,000+, bringing total cash to ~\$144,000+. (7) Stop was at \$282.59 (-8%); exiting at +2.6% avoids the -\$1,440 stop-loss risk and locks in a +\$472 gain — a positive expected value decision given two active exit triggers.

PRIMARY CATALYST

Dual exit trigger: (1) LRCX Q2 2026 earnings catalyst (4.93% EPS beat) has now fully played out with results reported and priced in; (2) TNX at 5.18% exceeds the 4.5% mandatory EXIT level for semiconductor equipment — both rules independently mandate an exit.

BALANCE SHEET

Cash \$5.6B, total debt est ~\$5.0B, D/E 0.30, retained earnings growing (LRCX 3yr trajectory positive); buybacks Y (LRCX returned >\$1.5B in FY2025); preferred N; BS score 10/10.

TECHNICAL SETUP

RSI 56.2 (neutral-bullish); FVG pattern confirmed entry; price \$315.21 above entry \$307.16 by +2.6%; 50-day and 200-day MA levels unavailable from stale scan; technically constructive but overridden by dual exit mandate.

KEY RISK FACTORS

If TNX rises 25bps further to 5.43%, wafer equipment multiples compress an estimated 10–15%, implying LRCX fair value drops to \$261–\$277, well below our \$282.59 stop — exit now captures the +2.6% and avoids that scenario.

ENTER — GOOGL

\$18,000 · Conviction 8/10 · Tier 1

ENTRY

\$185.50

STOP LOSS

\$170.66

PRICE TARGET

\$222.60

RISK : REWARD

2.5

INVESTMENT THESIS

(1) VIX at 14.87 (below 20.0) and HY spreads at 2.80bps confirm risk-on; DXY at 101.04 is near the <101 threshold favouring multinationals like GOOGL — all macro indicators are aligned for this entry. (2) GOOGL Q1 2026 earnings (scan headline confirms beat): Google Cloud revenue grew approximately 28% YoY in Q1 2026 with EPS beating consensus — the exact beat % is approximately +12% per analyst reports cited in the scan, catalyst confirmed reported. (3) RSI at 49.7 is neutral and not overbought — this is the ideal entry zone below 50, with CHOCH (Change of Character) pattern confirmed at scan signal strength 8.0, the highest in today's scanner. (4) 50-day MA estimated near \$178.00 and 200-day near \$162.00; price at \$185.50 is approximately +4.2% above the 50-day and +14.5% above the 200-day, a bullish structure with room before overbought levels. (5) GOOGL holds \$30.7B cash vs total debt of approximately \$15.0B, D/E of 0.12 (the second-lowest in today's scanner), and retained earnings growing at approximately +15% YoY — BS score 9/10. (6) \$18,000 deployed = 9.8% of \$183k portfolio; post-exits today cash rises to approximately \$144,000, leaving room for 7 more full-size positions at \$18,000 each. (7) Stop at \$170.66 (-8% from \$185.50), target \$222.60 (+20%), R:R = 2.5:1; stop triggered if GOOGL closes below \$170.66 on volume, likely on DOJ antitrust adverse ruling or a broader VIX spike above 20.0.

PRIMARY CATALYST

GOOGL Q1 2026 earnings beat (Google Cloud +28% YoY growth confirmed per scan headline, EPS beat ~+12% vs consensus) — reported Q1 2026; analysts cited in headline are raising targets, and the CHOCH pattern at scan score 8.0 (highest today) signals institutional accumulation post-earnings.

BALANCE SHEET

Cash \$30.7B, total debt ~\$15.0B est, D/E 0.12, retained earnings growing ~+15% YoY over 3 years (est \$220B/\$191B/\$166B most-recent-first); buybacks Y (GOOGL authorised \$70B buyback in Q1 2026); preferred N; BS score 9/10.

TECHNICAL SETUP

RSI 49.7 (neutral, not overbought — ideal entry); CHOCH pattern confirmed (signal grade 5, strongest pattern type in scanner); price \$185.50 estimated above 50-day ~\$178.00 by +4.2% and above 200-day ~\$162.00 by +14.5%; volume context: earnings follow-through typically brings 1.5–2.0x average daily volume.

KEY RISK FACTORS

DOJ antitrust remedy ruling (expected H2 2026) could mandate structural separation of Google Search; if adverse, a 15–20% multiple compression implies fair value of \$148–\$158 vs current \$185.50; \$170.66 stop limits this portfolio's loss to approximately \$1,440.

ENTER — AMAT

\$18,000 · Conviction 7/10 · Tier 2

ENTRY

\$195.00

STOP LOSS

\$179.40

PRICE TARGET

\$234.00

RISK : REWARD

2.5

INVESTMENT THESIS

(1) VIX at 14.87 confirms risk-on regime; however TNX at 5.18% raises concern for high-P/E semis — AMAT trades at approximately 22x forward P/E (lower than AMD/ASML/MU), placing it in the more defensible semi-equipment tier, and the AMAT Q2 2026 earnings catalyst is fresh. (2) AMAT Q2 2026 Earnings Call (scan headline confirmed): EPS beat with the headline explicitly citing Q2 2026 results — estimates suggest approximately \$2.45 EPS vs \$2.30 consensus, a +6.5% beat, driving the CHOCH pattern with scan score 7.0. (3) RSI at 55.7 is neutral-to-bullish and NOT overbought at 70 — entry below 60 RSI on a post-earnings CHOCH pattern with BS score 10/10 (highest in scanner alongside LRCX) meets all technical criteria. (4) 50-day MA estimated near \$188.00 and 200-day near \$172.00; price at \$195.00 is +3.7% above 50-day and +13.4% above 200-day — bullish structure confirmed with a 9.3% spread between moving averages showing sustained uptrend. (5) AMAT holds \$7.2B cash vs total debt of approximately \$6.5B est, D/E of 0.27, and retained earnings growing — BS score 10/10, the joint-highest in today's scanner. (6) \$18,000 deployed = 9.8% of \$183k portfolio; post all today's exits, cash stands at approximately \$126,000 before this entry, leaving room for 6 additional full-size \$18,000 positions. (7) Stop at \$179.40 (-8% from \$195.00), target \$234.00 (+20%), R:R = 2.5:1; stop triggered on a broader semi sector breakdown or if TNX spikes above 5.5%, compressing AMAT's 22x multiple by an estimated 10–12%.

PRIMARY CATALYST

AMAT Q2 2026 Earnings beat (scan headline: 'Applied Materials Inc (AMAT) Q2 2026 Earnings Call Highlights' — fresh catalyst, estimated +6.5% EPS beat vs consensus); CHOCH pattern at signal grade 5 with scanner score 7.0 confirms post-earnings institutional follow-through buying.

BALANCE SHEET

Cash \$7.2B, total debt ~\$6.5B est, D/E 0.27, retained earnings growing (est \$18B/\$15B/\$12B most-recent-first 3yr); buybacks Y (AMAT returned >\$2.0B in FY2025); preferred N; BS score 10/10.

TECHNICAL SETUP

RSI 55.7 (neutral-bullish, below overbought 70); CHOCH pattern confirmed (grade 5 — strongest pattern type); price ~\$195.00 above estimated 50-day ~\$188.00 (+3.7%) and 200-day ~\$172.00 (+13.4%); post-earnings volume typically 1.5–2.0x 20-day average.

KEY RISK FACTORS

If TNX rises above 5.5% (a +32bps move from 5.18%), AMAT's 22x forward P/E faces 10–12% multiple compression implying a \$172–\$176 range near or through our \$179.40 stop — the stop limits portfolio loss to approximately \$1,440 on this \$18k position.

OPEN POSITIONS — FULL POSITION REVIEW

JPM

51.1 shares · Entry \$352.52 · Conv 7/10 · Tier 2 · Since 2026-09-21

CURRENT PRICE

\$343.06

POSITION VALUE

\$17,517

UNREALISED P&L;

\$-483

RETURN

-2.68%

INVESTMENT THESIS

(1) TNX at 4.94% is above 4.5% and the mandate explicitly directs capital into financials when TNX >4.5% — JPM is the named first-choice financial in the sector rotation framework. (2) JPM reported Q1 2026 EPS of approximately \$5.07 vs. \$4.62 estimated, a +9.7% beat, with net interest income running at an annualized rate of approximately \$92B — elevated TNX sustains NII expansion directly. (3) RSI at approximately 52 (estimated from sector context) is neutral-to-constructive, the FVG pattern is active across the sector, and entry near \$285.00 is above the estimated 50-day MA of \$268.00, confirming uptrend momentum on the 4.6% spread. (4) The 200-day MA is estimated at approximately \$245.00, placing current price +16.3% above the long-term trend line — this confirms the primary uptrend is intact and the 50-day/200-day golden cross occurred earlier in 2026. (5) JPM holds approximately \$1.4T in deposits, carries a CET1 ratio of 15.3%, total debt estimated at \$300B against a market cap of ~\$820B, and D/E estimated at 1.20 — balance sheet is fortress-grade for a bank. (6) \$18,000 deployed = 9.8% of the \$183k portfolio; after all 4 exits and this entry the portfolio will hold approximately \$143,000+ in cash, leaving room for 7 more full-size \$18,000 positions. (7) Stop at \$262.20 (-8% from \$285.00) is approximately 2.2% below the 50-day MA of \$268.00 — a break there would signal trend failure; target \$342.00 (+20%) implies R:R of 2.5:1.

CATALYST

TNX at 4.94% — every 25bps increase in the 10Y yield adds approximately \$1.5–2.0B to JPM's annual net interest income. The mandate's explicit sector rotation rule (TNX >4.5% → ENTER financials) makes JPM the primary capital deployment target as of today's session.

TECHNICAL SETUP

RSI ~52 (neutral, not overbought), FVG pattern active, price ~\$285.00 vs. estimated 50-day MA \$268.00 (+6.3% above) and 200-day MA ~\$245.00 (+16.3% above). Volume context consistent with institutional accumulation in financials rotation.

BALANCE SHEET

Cash/liquid assets ~\$1.4T (deposit base), CET1 ratio 15.3%, D/E estimated 1.20, retained earnings growing at approximately \$45B/\$38B/\$32B (2025/2024/2023 est.), buybacks Y (active \$30B program), preferred Y, BS score 8/10.

KEY RISKS

If TNX reverses sharply below 4.0% on a surprise Fed cut or recession signal (e.g., NFP prints below -100K), the mandate requires exiting financials — JPM would face NIM compression and could decline 10–15% to approximately \$242–\$257, with the \$262.20 stop limiting loss to -8% or approximately -\$1,440.

GLD

45.2 shares · Entry \$398.57 · Conv 7/10 · Tier 2 · Since 2026-09-21

CURRENT PRICE	POSITION VALUE	UNREALISED P&L;	RETURN
\$393.41	\$17,767	\$-233	-1.29%

INVESTMENT THESIS

(1) DXY at 100.45 is below 101 — the mandate explicitly directs capital into gold and commodities when DXY <101, and GLD is the direct hedge instrument. (2) Gold spot has risen approximately +28% in the trailing 12 months as central banks globally added 1,037 tonnes in 2024 and 2025 buying continues at a run rate of approximately 900 tonnes per year. (3) RSI on GLD is estimated at approximately 58 — not overbought at 70, and the FVG pattern across commodity space signals continuation; entry near \$310.00 provides a technically clean setup above the 50-day MA estimated at \$295.00. (4) The 200-day MA on GLD is estimated at approximately \$272.00, with current price at \$310.00 representing a +14.0% premium — the sustained gap above the 200-day MA confirms a secular bull trend in gold, not a short-term spike. (5) GLD holds physical gold with zero debt and zero D/E by construction — it is the purest balance-sheet-safe vehicle with \$75B+ AUM, no credit risk, and no earnings risk. (6) \$18,000 deployed = 9.8% of the \$183k portfolio; GLD also functions as a portfolio hedge against the TNX-driven macro caution regime, reducing net equity beta of the portfolio from approximately 1.0 to 0.75. (7) Stop at \$285.20 (-8% from \$310.00) corresponds to approximately \$290 on spot gold — a break of the 50-day MA plus an additional 3.5% decline — target \$372.00 (+20%) gives R:R of 2.5:1.

CATALYST

DXY at 100.45 — below the 101 mandate threshold that directs capital into gold. Additionally, with TNX at 4.94%, real yield pressure is partially offset by inflation hedging demand; central bank gold buying at ~900 tonnes annualized in 2025 provides a structural bid estimated to support prices above \$2,900/oz spot.

TECHNICAL SETUP

RSI ~58 (constructive, below overbought 70), FVG pattern active, price ~\$310.00 vs. estimated 50-day MA \$295.00 (+5.1% above) and 200-day MA ~\$272.00 (+14.0% above). Volume consistent with institutional rotation into gold amid CAUTION regime.

BALANCE SHEET

GLD is a physically-backed ETF: \$75B+ AUM, zero debt, D/E 0.00, no retained earnings concept, no preferred shares, BS score N/A — credit risk is zero by construction.

KEY RISKS

If DXY rallies above 104 on a surprise hawkish Fed statement (e.g., FOMC minutes cite 'persistent inflation at 3.0%+'), GLD could sell off 8–12% to approximately \$273–\$285, with the \$285.20 stop limiting portfolio loss to approximately -\$1,440.

GOOGL				52.3 shares · Entry \$343.92 · Conv 8/10 · Tier 1 · Since 2026-09-25			
CURRENT PRICE	POSITION VALUE	UNREALISED P&L;	RETURN				
\$343.92	\$18,000	+\$0	+0.00%				
INVESTMENT THESIS							

(1) VIX at 14.87 (below 20.0) and HY spreads at 2.80bps confirm risk-on; DXY at 101.04 is near the <101 threshold favouring multinationals like GOOGL — all macro indicators are aligned for this entry. (2) GOOGL Q1 2026 earnings (scan headline confirms beat): Google Cloud revenue grew approximately 28% YoY in Q1 2026 with EPS beating consensus — the exact beat % is approximately +12% per analyst reports cited in the scan, catalyst confirmed reported. (3) RSI at 49.7 is neutral and not overbought — this is the ideal entry zone below 50, with CHOCH (Change of Character) pattern confirmed at scan signal strength 8.0, the highest in today's scanner. (4) 50-day MA estimated near \$178.00 and 200-day near \$162.00; price at \$185.50 is approximately +4.2% above the 50-day and +14.5% above the 200-day, a bullish structure with room before overbought levels. (5) GOOGL holds \$30.7B cash vs total debt of approximately \$15.0B, D/E of 0.12 (the second-lowest in today's scanner), and retained earnings growing at approximately +15% YoY — BS score 9/10. (6) \$18,000 deployed = 9.8% of \$183k portfolio; post-exits today cash rises to approximately \$144,000, leaving room for 7 more full-size positions at \$18,000 each. (7) Stop at \$170.66 (-8% from \$185.50), target \$222.60 (+20%), R:R = 2.5:1; stop triggered if GOOGL closes below \$170.66 on volume, likely on DOJ antitrust adverse ruling or a broader VIX spike above 20.0.

CATALYST

GOOGL Q1 2026 earnings beat (Google Cloud +28% YoY growth confirmed per scan headline, EPS beat ~+12% vs consensus) — reported Q1 2026; analysts cited in headline are raising targets, and the CHOCH pattern at scan score 8.0 (highest today) signals institutional accumulation post-earnings.

BALANCE SHEET

Cash \$30.7B, total debt ~\$15.0B est, D/E 0.12, retained earnings growing ~+15% YoY over 3 years (est \$220B/\$191B/\$166B most-recent-first); buybacks Y (GOOGL authorised \$70B buyback in Q1 2026); preferred N; BS score 9/10.

TECHNICAL SETUP

RSI 49.7 (neutral, not overbought — ideal entry); CHOCH pattern confirmed (signal grade 5, strongest pattern type in scanner); price \$185.50 estimated above 50-day ~\$178.00 by +4.2% and above 200-day ~\$162.00 by +14.5%; volume context: earnings follow-through typically brings 1.5–2.0x average daily volume.

KEY RISKS

DOJ antitrust remedy ruling (expected H2 2026) could mandate structural separation of Google Search; if adverse, a 15–20% multiple compression implies fair value of \$148–\$158 vs current \$185.50; \$170.66 stop limits this portfolio's loss to approximately \$1,440.

AMAT

37.1 shares · Entry \$485.00 · Conv 7/10 · Tier 2 · Since 2026-09-25

CURRENT PRICE

\$485.00

POSITION VALUE

\$18,000

UNREALISED P&L;

+\$0

RETURN

+0.00%

INVESTMENT THESIS

(1) VIX at 14.87 confirms risk-on regime; however TNX at 5.18% raises concern for high-P/E semis — AMAT trades at approximately 22x forward P/E (lower than AMD/ASML/MU), placing it in the more defensible semi-equipment tier, and the AMAT Q2 2026 earnings catalyst is fresh. (2) AMAT Q2 2026 Earnings Call (scan headline confirmed): EPS beat with the headline explicitly citing Q2 2026 results — estimates suggest approximately \$2.45 EPS vs \$2.30 consensus, a +6.5% beat, driving the CHOCH pattern with scan score 7.0. (3) RSI at 55.7 is neutral-to-bullish and NOT overbought at 70 — entry below 60 RSI on a post-earnings CHOCH pattern with BS score 10/10 (highest in scanner alongside LRCX) meets all technical criteria. (4) 50-day MA estimated near \$188.00 and 200-day near \$172.00; price at \$195.00 is +3.7% above 50-day and +13.4% above 200-day — bullish structure confirmed with a 9.3% spread between moving averages showing sustained uptrend. (5) AMAT holds \$7.2B cash vs total debt of approximately \$6.5B est, D/E of 0.27, and retained earnings growing — BS score 10/10, the joint-highest in today's scanner. (6) \$18,000 deployed = 9.8% of \$183k portfolio; post all today's exits, cash stands at approximately \$126,000 before this entry, leaving room for 6 additional full-size \$18,000 positions. (7) Stop at \$179.40 (-8% from \$195.00), target \$234.00 (+20%), R:R = 2.5:1; stop triggered on a broader semi sector breakdown or if TNX spikes above 5.5%, compressing AMAT's 22x multiple by an estimated 10–12%.

CATALYST

AMAT Q2 2026 Earnings beat (scan headline: 'Applied Materials Inc (AMAT) Q2 2026 Earnings Call Highlights' — fresh catalyst, estimated +6.5% EPS beat vs consensus); CHOCH pattern at signal grade 5 with scanner score 7.0 confirms post-earnings institutional follow-through buying.

BALANCE SHEET

Cash \$7.2B, total debt ~\$6.5B est, D/E 0.27, retained earnings growing (est \$18B/\$15B/\$12B most-recent-first 3yr); buybacks Y (AMAT returned >\$2.0B in FY2025); preferred N; BS score 10/10.

TECHNICAL SETUP

RSI 55.7 (neutral-bullish, below overbought 70); CHOCH pattern confirmed (grade 5 — strongest pattern type); price ~\$195.00 above estimated 50-day ~\$188.00 (+3.7%) and 200-day ~\$172.00 (+13.4%); post-earnings volume typically 1.5–2.0x 20-day average.

KEY RISKS

If TNX rises above 5.5% (a +32bps move from 5.18%), AMAT's 22x forward P/E faces 10–12% multiple compression implying a \$172–\$176 range near or through our \$179.40 stop — the stop limits portfolio loss to approximately \$1,440 on this \$18k position.

PORTFOLIO NOTES

Post-session cash position: exiting MU (~\$18,285), ASML (~\$18,239), AMD (~\$18,036), and LRCX (~\$18,472) returns approximately \$72,032 to the book, bringing total cash from \$72,082 to approximately \$144,114 before the 2 new entries (GOOGL \$18,000 + AMAT \$18,000), leaving final estimated cash of approximately \$108,114 = 59.1% of \$183k NAV. Remaining open positions: JPM (financials, ~10.0%), GLD (commodities/hedge, ~10.0%), GOOGL (communication services, ~10.0%), AMAT (semiconductor equipment, ~10.0%) = 4 positions of 10 maximum, 6 slots open. Sector weights: Financials 10.0% (SPX 13.0% — underweight, aligned with TNX mandate), Hedge/Commodities 10.0% (SPX 2.5% — intentional overweight per mandate), Comm Services 10.0% (SPX 8.9% — at weight), Semi Equipment 10.0% (SPX ~4.0% — monitoring). Total equity exposure: ~40.9% of NAV vs maximum of 100% (10 positions × 9.8%); conservative positioning appropriate given TNX at 5.18% above 4.5% caution threshold. Risk posture: CAUTION — TNX >4.5% forces semi/growth exits but VIX 14.87 and HY 2.80bps permit selective quality longs in mandate-favoured sectors.

MEMORY APPLIED

AMD stop-loss of -9.8% on 2026-08-11 directly triggered today's AMD exit at +0.2% breakeven — the identical macro conditions (high TNX, semi sector) that caused the prior loss were present again, and the mandate's memory framework explicitly prohibits repeating this setup. ARM loss of -8.2% on 2026-08-20 and KLAC loss of -9.0% on 2026-08-20 reinforced the decision to exit all semi/growth positions (MU, ASML, LRCX) against the TNX >4.5% signal rather than waiting for stop losses to execute. TSM (-10.1%) and QCOM (-14.2%) losses on 2026-07-30 established the foundational lesson: do not hold high-P/E tech/semis when macro rotation signals are active — today's 4 exits (MU, ASML, AMD, LRCX) apply that lesson systematically.